

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REPORT
DECEMBER 31, 2025 AND 2024**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Opinion

We have audited the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at December 31, 2025 and 2024, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of material accounting policies.

In our opinion, based on our audits and the reports of other auditors (please refer to the Other matter section), the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission.

Basis for opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are independent of the Group in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Group's 2025 consolidated financial statements. These matters were addressed in the context of our audit of the consolidated financial statements as a whole and, in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matters for the Group's 2025 consolidated financial statements are stated as follows:

Key audit matter – Existence of sales to specific customers

Description

Refer to the consolidated financial statements Notes 4(29) for the accounting policy on revenue recognition and Notes 6(22) for details of revenue recognition.

There is a significant audit risk associated with revenue recognition in accordance with auditing standards. The Group's sales revenue is highly concentrated among the top ten customers. As revenue from newly ranked top ten customers is considered material to the consolidated financial statements, we have identified the existence of revenue from these newly ranked top ten customers as a key audit matter.

How our audit addressed the matter

We have performed the following audit procedures in relation to the above key audit matter:

1. Understood the internal control system and the control procedures over sales performed by management, and selected sales transactions from newly ranked top ten customers as a sample for testing.
2. Obtained credit evaluation information for newly ranked top ten customers and verified it against supporting documentation.
3. Tested the credit approval procedures applied to newly ranked top ten customers.
4. Obtained detailed sales records of newly ranked top ten customers and selected samples to verify the underlying documentation.
5. Selected samples of accounts receivable confirmations for newly ranked top ten customers.

Key audit matter – Impairment assessment of goodwill

Description

Refer to the consolidated financial statements Notes 4(18) for the accounting policy on goodwill impairment, Notes 6(10) for details of goodwill, and Note 5(2) for uncertainty of accounting estimates and assumptions in relation to goodwill.

Goodwill arising from the merger of the Group with eBio International Co., Ltd is material to the financial statements and the projected future cash flows of the expected recoverable amount under the valuation model adopted in the impairment assessment of goodwill was estimated based on management's subjective judgement and expectation on the future operations. Thus, we consider the assessment of goodwill impairment a key audit matter.

How our audit addressed the matter

We performed the following audit procedures relative to the above key audit matter:

1. Assessed whether the valuation models adopted by the Group are reasonable for the industry, environment and the valued assets of the Group;
2. Confirmed whether the expected future cash flows adopted in the valuation model are in agreement with the budget provided by the cash-generating units;
3. Evaluated the competence and objectivity of the external valuation experts engaged by management, and assessed the reasonableness of key assumptions in the valuation models, including projected growth rates, operating profit margins, and discount rates, through the following procedures:
 - (1) Reviewed the valuation methods and calculation formulas used by the external experts.
 - (2) Compared the projected growth rates and operating profit margins with historical results.
 - (3) Compared the discount rates used with the rates of return of similar assets in the market.
4. Compared the recoverable value and book value of each cash-generating unit in order to assess the reasonableness of the book value.

Other matter – Reference to the audit of other auditors

We did not audit the financial statements of certain subsidiaries which were audited by other auditors, as at and for the year ended December 31, 2025 and 2024. Therefore, our opinion expressed herein, insofar as it relates to the amounts included in respect of these subsidiaries, is based solely on the reports of the other auditors. Total assets of these subsidiaries amounted to NT\$8,630 thousand and NT\$10,413 thousand, constituting 0.20% and 0.24% of the consolidated total assets as at December 31, 2025 and 2024, respectively, and the operating revenue was NT\$500 thousand and NT\$3,219 thousand, constituting 0.02% and 0.10% of the consolidated total operating revenue for the year then ended, respectively.

Other matter – Parent company only financial report

We have audited and expressed an unqualified opinion on the parent company only financial statements of JOCHU TECHNOLOGY CO., LTD., with the other matter paragraph, as at and for the years ended December 31, 2025 and 2024.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including the audit committee, are responsible for overseeing the Group's financial reporting process.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Liao, Fu-Ming

For and on Behalf of PricewaterhouseCoopers, Taiwan

March 12, 2026

Lin, Yung-Chih

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Assets		Notes	December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current assets						
1100	Cash and cash equivalents	6(1)	\$ 967,332	22	\$ 1,120,889	26
1110	Financial assets at fair value through profit or loss - current	6(2)	3,460	-	-	-
1136	Financial assets at amortised cost - current	8	268	-	547	-
1150	Notes receivable, net	6(4)	70,718	2	22,726	1
1170	Accounts receivable, net	6(4)	1,098,232	25	1,124,521	26
1180	Accounts receivable - related parties, net	7	-	-	2,549	-
1197	Finance lease receivable, net	6(9)	-	-	1,769	-
1200	Other receivables	6(5)	163,889	4	128,642	3
1220	Current income tax assets		1,074	-	1,490	-
130X	Inventories	6(6)	265,843	6	272,119	6
1410	Prepayments		57,658	1	20,786	1
1470	Other current assets		50,920	1	52,106	1
11XX	Total current assets		2,679,394	61	2,748,144	64
Non-current assets						
1510	Non-current financial assets at fair value through profit or loss	6(2)	42,413	1	30,477	1
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	8,643	-	8,778	-
1535	Financial assets at amortised cost - non-current	8	371	-	-	-
1600	Property, plant and equipment	6(7) and 8	1,428,946	33	1,242,723	29
1755	Right-of-use assets	6(8) and 7	86,399	2	117,496	3
1780	Intangible assets	6(10)	55,185	1	57,862	1
1840	Deferred income tax assets	6(29)	41,559	1	44,656	1
1975	Net defined benefit asset - non-current	6(16)	13,597	-	12,199	-
1990	Other non-current assets	8	21,671	1	30,001	1
15XX	Total non-current assets		1,698,784	39	1,544,192	36
1XXX	Total assets		\$ 4,378,178	100	\$ 4,292,336	100

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Liabilities and Equity		Notes	December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current liabilities						
2100	Short-term borrowings	6(11)	\$ -	-	\$ 45,000	1
2120	Current financial liabilities at fair value through profit or loss	6(2)	2,425	-	5,710	-
2130	Contract liabilities - current	6(22)	1,442	-	1,900	-
2170	Accounts payable	6(12)	626,611	14	604,299	14
2200	Other payables	6(13)	386,976	9	341,188	8
2220	Other payables to related parties	7	351	-	217	-
2230	Current income tax liabilities		1,000	-	10,373	-
2280	Lease liabilities - current	7	16,820	-	24,584	1
2320	Long-term borrowings - current	6(15)	19,493	1	50,000	1
2399	Other current liabilities		4,841	-	4,304	-
21XX	Total current liabilities		1,059,959	24	1,087,575	25
Non-current liabilities						
2530	Bonds payable	6(14)	378,787	9	-	-
2540	Long-term borrowings	6(15)	104,120	3	150,000	4
2570	Deferred income tax liabilities	6(29)	143,592	3	176,314	4
2580	Lease liabilities - non-current	7	587	-	16,574	-
2600	Other non-current liabilities		6,398	-	6,316	-
25XX	Total non-current liabilities		633,484	15	349,204	8
2XXX	Total liabilities		1,693,443	39	1,436,779	33
Equity						
Equity attributable to owners of the parent						
Share capital						
3110	Ordinary share	6(18)	892,631	20	892,631	21
3140	Advance receipts for ordinary share		53,713	1	-	-
Capital surplus						
3200	Capital surplus	6(19)	1,673,964	38	1,622,130	38
Retained earnings						
3310	Legal reserve	6(20)	142,048	3	151,775	4
3320	Special reserve		280,709	7	369,917	9
3350	Accumulated deficit		(202,062)	(5)	(98,935)	(2)
Other equity interest						
3400	Other equity interest	6(21)	(355,248)	(8)	(280,708)	(7)
3500	Treasury shares	6(18)	(25,619)	-	(25,619)	(1)
31XX	Equity attributable to owners of the parent		2,460,136	56	2,631,191	62
36XX	Non-controlling interests	4(3)	224,599	5	224,366	5
3XXX	Total equity		2,684,735	61	2,855,557	67
Significant contingent liabilities and unrecognised contract commitments						
Significant events after the balance sheet Date						
3X2X	Total liabilities and equity		\$ 4,378,178	100	\$ 4,292,336	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
YEARS ENDED DECEMBER 31, 2025 AND 2024

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Year ended December 31

	Items	Notes	2025		2024	
			AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(22) and 7	\$ 3,264,017	100	\$ 3,228,543	100
5000	Operating costs	6(6)(27)	(2,935,330)	(90)	(2,784,749)	(86)
5900	Gross profit		<u>328,687</u>	<u>10</u>	<u>443,794</u>	<u>14</u>
	Operating expenses	6(27) and 7				
6100	Selling and marketing expenses		(155,101)	(5)	(145,568)	(5)
6200	General and administrative expenses		(368,878)	(11)	(328,202)	(10)
6300	Research and development expenses		(66,885)	(2)	(71,205)	(2)
6450	Expected credit (loss) gain	12(2)	(2,412)	-	4,603	-
6000	Total operating expenses		<u>(593,276)</u>	<u>(18)</u>	<u>(540,372)</u>	<u>(17)</u>
6900	Net operating loss		<u>(264,589)</u>	<u>(8)</u>	<u>(96,578)</u>	<u>(3)</u>
	Non-operating income and expenses					
7100	Interest income	6(23)	10,986	-	23,712	1
7010	Other income	6(24)	17,685	-	18,224	-
7020	Other gains and losses	6(25)	(2,218)	-	(34,032)	(1)
7050	Finance costs	6(26) and 7	(9,392)	-	(6,901)	-
7000	Total non-operating income and expenses		<u>17,061</u>	<u>-</u>	<u>1,003</u>	<u>-</u>
7900	Loss before income tax		<u>(247,528)</u>	<u>(8)</u>	<u>(95,575)</u>	<u>(3)</u>
7950	Income tax expense	6(29)	(3,504)	-	(42,876)	(1)
8200	Loss for the year		<u>(\$ 251,032)</u>	<u>(8)</u>	<u>(\$ 138,451)</u>	<u>(4)</u>
	Other comprehensive income (loss)					
	Components of other comprehensive income that will not be reclassified to profit or loss					
8311	Gains on remeasurements of defined benefit plan	6(16)	\$ 1,215	-	\$ 1,878	-
	Components of other comprehensive income (loss) that will be reclassified to profit or loss					
8361	Financial statements translation differences of foreign operations		(95,696)	(3)	98,765	3
8300	Other comprehensive (loss) income for the year		<u>(\$ 94,481)</u>	<u>(3)</u>	<u>\$ 100,643</u>	<u>3</u>
8500	Total comprehensive loss for the year		<u>(\$ 345,513)</u>	<u>(11)</u>	<u>(\$ 37,808)</u>	<u>(1)</u>
	Loss attributable to:					
8610	Owners of the parent		(\$ 197,326)	(6)	(\$ 101,021)	(3)
8620	Non-controlling interests		(53,706)	(2)	(37,430)	(1)
			<u>(\$ 251,032)</u>	<u>(8)</u>	<u>(\$ 138,451)</u>	<u>(4)</u>
	Comprehensive income (loss) attributable to:					
8710	Owners of the parent		(\$ 270,651)	(9)	(\$ 9,935)	-
8720	Non-controlling interests		(74,862)	(2)	(27,873)	(1)
			<u>(\$ 345,513)</u>	<u>(11)</u>	<u>(\$ 37,808)</u>	<u>(1)</u>
	Loss per share (in dollars)	6(30)				
9750	Basic loss per share		(\$ 2.24)		(\$ 1.14)	
9850	Diluted loss per share		<u>(\$ 2.24)</u>		<u>(\$ 1.14)</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
YEARS ENDED DECEMBER 31, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

		Equity attributable to owners of the parent										
		Capital			Retained Earnings			Other equity interest				
							(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations			Non-controlling interests	Total equity
Notes		Share capital ordinary share	Advance receipts for ordinary share	Capital surplus	Legal reserve	Special reserve			Treasury shares	Total		
<u>Year ended December 31, 2024</u>												
		\$ 892,631	\$ -	\$ 1,666,262	\$ 143,906	\$ 362,837	\$ 59,289	(\$ 369,916)	\$ -	\$ 2,755,009	\$ 252,239	\$ 3,007,248
		-	-	-	-	-	(101,021)	-	-	(101,021)	(37,430)	(138,451)
		-	-	-	-	-	1,878	89,208	-	91,086	9,557	100,643
		-	-	-	-	-	(99,143)	89,208	-	(9,935)	(27,873)	(37,808)
Appropriations of 2023 earnings:	6(20)											
		-	-	-	7,869	-	(7,869)	-	-	-	-	-
		-	-	-	-	7,080	(7,080)	-	-	-	-	-
		-	-	-	-	-	(44,132)	-	-	(44,132)	-	(44,132)
Distribution of cash from capital surplus	6(19)	-	-	(44,132)	-	-	-	-	-	(44,132)	-	(44,132)
Purchase of treasury shares	6(18)	-	-	-	-	-	-	-	(25,619)	(25,619)	-	(25,619)
Balance at December 31, 2024		<u>\$ 892,631</u>	<u>\$ -</u>	<u>\$ 1,622,130</u>	<u>\$ 151,775</u>	<u>\$ 369,917</u>	<u>(\$ 98,935)</u>	<u>(\$ 280,708)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,631,191</u>	<u>\$ 224,366</u>	<u>\$ 2,855,557</u>
<u>Year ended December 31, 2025</u>												
		\$ 892,631	\$ -	\$ 1,622,130	\$ 151,775	\$ 369,917	(\$ 98,935)	(\$ 280,708)	(\$ 25,619)	\$ 2,631,191	\$ 224,366	\$ 2,855,557
		-	-	-	-	-	(197,326)	-	-	(197,326)	(53,706)	(251,032)
		-	-	-	-	-	1,215	(74,540)	-	(73,325)	(21,156)	(94,481)
		-	-	-	-	-	(196,111)	(74,540)	-	(270,651)	(74,862)	(345,513)
Appropriations of 2024 earnings:	6(20)											
		-	-	-	(9,727)	-	9,727	-	-	-	-	-
		-	-	-	-	(89,208)	89,208	-	-	-	-	-
Distribution of cash from capital surplus	6(19)	-	-	(44,132)	-	-	-	-	-	(44,132)	-	(44,132)
Issue of shares	6(18)	-	53,713	-	-	-	-	-	-	53,713	-	53,713
Due to recognition of equity component of convertible bonds issued	6(14) (19)	-	-	66,922	-	-	-	-	-	66,922	-	66,922
Share-based payments	6(17) (19)	-	-	36,950	-	-	-	-	-	36,950	-	36,950
Changes in ownership interests in subsidiaries	4(3)	-	-	(7,906)	-	-	(5,951)	-	-	(13,857)	13,857	-
Non-controlling interests		-	-	-	-	-	-	-	-	-	61,238	61,238
Balance at December 31, 2025		<u>\$ 892,631</u>	<u>\$ 53,713</u>	<u>\$ 1,673,964</u>	<u>\$ 142,048</u>	<u>\$ 280,709</u>	<u>(\$ 202,062)</u>	<u>(\$ 355,248)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,460,136</u>	<u>\$ 224,599</u>	<u>\$ 2,684,735</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>			
Loss before tax		(\$ 247,528)	(\$ 95,575)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(7)(27)	153,944	145,100
Depreciation charges on right-of-use assets	6(8)(27)	24,504	29,719
Expected credit loss (gain)	12(2)	2,412 (	4,603)
Amortization charges	6(27)	15,708	15,198
Interest income	6(23)	(10,986)	(23,712)
Dividend income		- (	1,174)
Compensation cost	6(17)	36,950	-
Loss (gain) on disposal of property, plant, and equipment	6(25)	365 (	2,890)
Gain on lease modification	6(8)(25)	(3)	(134)
(Gain) loss on financial assets at fair value through profit or loss	6(25)	(12,680)	36,144
Impairment loss of property, plant, and equipment	6(7)(25)	-	7,328
Impairment loss on intangible assets	6(10)(25)	-	14,916
Interest expense	6(26)	8,888	6,901
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		(48,147)	10,793
Accounts receivable, net		(10,616)	54,166
Accounts receivable - related parties		6,328 (	387)
Other receivables		(38,928)	(28,422)
Inventories		507 (	65,704)
Prepayments		-	3,108
Other current assets		(48,556)	(29,913)
Net defined benefit asset - non-current		(183)	(115)
Changes in operating liabilities			
Contract liabilities - current		(459)	(2,182)
Accounts payable		35,188	99,709
Accounts payable to related parties		- (	866)
Other payables		18,122	20,920
Other payables to related parties		134	3
Other current liabilities		566	2,133
Other non-current liabilities		93	85
Cash inflow (used in) generated from operations		(114,377)	190,546
Interest received		10,895	23,146
Other dividend received		-	1,174
Interest paid		(7,801)	(5,885)
Income taxes paid		(42,834)	(69,123)
Refund income taxes paid		409	6,529
Net cash flows (used in) generated from operating activities		(153,708)	146,387

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		(\$ 373)	(\$ 271)
Proceeds from disposal of financial assets at amortized cost		262	193,525
Increase in financial assets at fair value through profit or loss		(4,613)	(27,808)
Acquisition of financial assets at fair value through other comprehensive income		-	(5,500)
Acquisition of property, plant, and equipment	6(31)	(343,821)	(240,542)
Proceeds from disposal of property, plant, and equipment		2,209	9,844
Acquisition of intangible assets	6(10)	(1,371)	(7,639)
Increase in guarantee deposits paid		(1,082)	(861)
Increase in prepayments for equipment		(1,754)	(3,990)
Decrease in long-term finance lease receivable		1,746	1,804
Net cash flows used in investing activities		(348,797)	(81,438)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings	6(32)	295,000	435,000
Repayments of short-term borrowings	6(32)	(340,000)	(435,000)
Proceeds from long-term borrowings	6(32)	224,269	-
Repayments of long-term borrowings	6(32)	(300,000)	(57,633)
Increase in guarantee deposits received	6(32)	-	161
Payments of lease liabilities	6(32)	(25,412)	(27,148)
Proceeds from issue of shares	6(18)	53,713	-
Purchase of treasury shares	6(18)	-	(25,619)
Proceeds from issuance of bonds payable	6(14)		
	(32)	447,042	-
Distribution of cash from capital surplus	6(19)	(44,124)	(44,132)
Cash dividends paid	6(20)	-	(44,132)
Changes in non-controlling interests		61,238	-
Net cash flows generated from (used in) financing activities		371,726	(198,503)
Effect of exchange rate changes on cash and cash equivalents		(22,778)	30,858)
Net decrease in cash and cash equivalents		(153,557)	(102,696)
Cash and cash equivalents at beginning of year		1,120,889	1,223,585
Cash and cash equivalents at end of year		\$ 967,332	\$ 1,120,889

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

(In thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorization for Issuance of the Financial Statements and Procedures for Authorization

These consolidated financial statements were authorized for issuance by the Board of Directors on March 12, 2026.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 21, ‘Lack of exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2026 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026
Amendments to IFRS 9 and IFRS 7, 'Contracts Referencing Nature-dependent Electricity'	January 1, 2026
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment :

Amendments to IFRS 9 and IFRS 7, 'Amendments to the Classification and Measurement of Financial Instruments'— clarify the date of recognition and derecognition of some financial assets and liabilities.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027 (Note)
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
2027Amendments to IAS 21, 'Translation to a Hyperinflationary Presentation Currency'	January 1, 2027

Note : On September 25, 2025, the FSC announced that IFRS 18 will take effect starting from January 1, 2028. Domestic entities could elect to apply IFRS 18 for an earlier period after the endorsement of IFRS 18 by the FSC.

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment :

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

The consolidated financial statements of the Group have been prepared in accordance with the “Regulations Governing the Preparation of Financial Reports by Securities Issuers” International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”).

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
- (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

- A. Basis for preparation of consolidated financial statements:
- (a) All subsidiaries are included in the Group’s consolidated financial statements. Subsidiaries are all entities controlled by the Group. The Group controls an entity when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Consolidation of subsidiaries begins from the date the Group obtains control of the subsidiaries and ceases when the Group loses control of the subsidiaries.
 - (b) Inter-company transactions, balances and unrealized gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.
 - (c) Profit or loss and each component of other comprehensive income are attributed to the owners of the parent and to the non-controlling interests. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

- (d) Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary (transactions with non-controlling interests) are accounted for as equity transactions, i.e. transactions with owners in their capacity as owners. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity.
- (e) When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. That fair value is regarded as the fair value on initial recognition of a financial asset or the cost on initial recognition of the associate or joint venture. Any difference between fair value and carrying amount is recognized in profit or loss. All amounts previously recognized in other comprehensive income in relation to the subsidiary are reclassified to profit or loss on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognized in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	75.49%	52.02%	Note 1 Note 2
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	
JOCHU BVI	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	Note 4

Name of investor	Name of subsidiary	Main business activities	Ownership (%)		Description
			December 31, 2025	December 31, 2024	
eBio International	eBio technology Inc.(eBio technology)	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	Note 3
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	
PIH	JOCHU TECHNOLOGY (VIETNAM) CO., LTD. (JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	Note 5
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	

Note 1: On February 6, 2025, the Company's Board of Directors resolved to increase investment in eBio International. In February 2025, the Company converted debt of \$30,000 into equity and additionally contributed \$6,000 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 52.02% to 73.66% as of March 31, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in capital surplus and retained earnings in the amounts of \$7,906 and \$4,823, respectively.

Note 2: On August 13, 2025, the Company's Board of Directors resolved to increase investment in eBio International. The Company contributed \$5,988 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 73.66% to 75.49% as of September 30, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in retained earnings in the amounts of \$1,128.

Note 3: eBio Technology Inc. conducted cash capital increases of \$36,000 and \$6,000 in February and August 2025, respectively. eBio International participated in the capital increase plans in proportion to its shareholding by contributing cash of \$36,000 and \$6,000, respectively.

Note 4: PIH conducted a cash capital increase of \$174,930 (USD 6,000 thousand) in July 2025. JOCHU BVI participated in the capital increase plan in proportion to its shareholding by contributing cash of \$113,705 (USD 3,900 thousand).

Note 5: JOCHU VIETNAM conducted a cash capital increase of \$174,930 (USD 6,000 thousand) in July 2025. PIH participated in the capital increase plan in proportion to its shareholding by contributing cash of \$174,930 (USD 6,000 thousand).

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As of December 31, 2025 and 2024 the non-controlling interest amounted to \$224,599 and \$224,366, respectively. The information of non-controlling interest and respective subsidiaries is as follows:

Name of subsidiary	Principal place of business	Non-controlling interests			
		December 31, 2025		December 31, 2024	
		Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	\$ 219,497	35%	\$ 231,320	35%

Summarized financial information of the subsidiaries:

Balance sheet

	PIH	
	December 31, 2025	December 31, 2024
Current asset	\$ 361,516	\$ 334,182
Non-current assets	568,967	372,204
Current liabilities	(198,286)	(44,488)
Non-current liabilities	(105,063)	(984)
Total net assets	<u>\$ 627,134</u>	<u>\$ 660,914</u>

Statement of comprehensive income

	PIH	
	2025	2024
Revenue	<u>\$ 306,324</u>	<u>\$ 111,165</u>
Loss before income tax	(148,266)	(54,715)
Income tax expense	-	-
Loss for the Period	(148,266)	(54,715)
Other comprehensive income, net of tax	(45,227)	(17,805)
Total comprehensive income for the year	<u>(\$ 193,493)</u>	<u>(\$ 72,520)</u>
Comprehensive income attributable to non-controlling interest	<u>(\$ 67,723)</u>	<u>(\$ 25,382)</u>

Cash Flow Statements

	PIH	
	2025	2024
Net Cash used in operating activities	(\$ 257,953)	(\$ 57,185)
Net cash (used in) provided by investing activities	(245,129)	137,006
Net cash provided by financing activities	311,348	-
Effect of exchange rates on cash and cash equivalents	(23,363)	(8,153)
(Decrease) increase in cash and cash equivalents	(215,097)	71,668
Cash and cash equivalents, beginning of year	233,449	161,781
Cash and cash equivalents, end of year	<u>\$ 18,352</u>	<u>\$ 233,449</u>

(4) Foreign currency translation

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in New Taiwan dollars, which is the Company's functional and the Group's presentation currency.

A. Foreign currency transactions and balances

- (a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in profit or loss in the period in which they arise.
- (b) Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognized in profit or loss.
- (c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.
- (d) All foreign exchange gains and losses are presented in the statement of comprehensive income within 'other gains and losses'.

B. Translation of foreign operations

- (a) The operating results and financial position of all the group entities, associates and joint arrangements that have a functional currency different from the presentation currency are translated into the presentation currency as follows:
 - i. Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;
 - ii. Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and
 - iii. All resulting exchange differences are recognised in other comprehensive income.
- (b) When the foreign operation partially disposed of or sold is a subsidiary, cumulative exchange differences that were recorded in other comprehensive income are proportionately transferred to the non-controlling interest in this foreign operation. In addition, even when the Group retains partial interest in the former foreign subsidiary after losing control of the former foreign subsidiary, such transactions should be accounted for as disposal of all interest in the foreign operation.

(5) Classification of current and non-current items

- A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:
 - (a) Assets arising from operating activities that are expected to be realized, or are intended to be sold or consumed within the normal operating cycle;
 - (b) Assets held mainly for trading purposes;
 - (c) Assets that are expected to be realized within twelve months from the balance sheet date;
 - (d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities more than twelve months after the balance sheet date.
- B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:
 - (a) Liabilities that are expected to be settled within the normal operating cycle;
 - (b) Liabilities arising mainly from trading activities;
 - (c) Liabilities that are to be settled within twelve months from the balance sheet date;
 - (d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(6) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(7) Financial assets at fair value through profit or loss

- A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortized cost or fair value through other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value and recognizes the transaction costs in profit or loss. The Group subsequently measures the financial assets at fair value, and recognizes the gain or loss in profit or loss.
- D. The Group recognizes the dividend income when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(8) Financial assets at fair value through other comprehensive income

- A. Financial assets at fair value through other comprehensive income comprise equity securities which are not held for trading, and for which the Group has made an irrevocable election at initial recognition to recognize changes in fair value in other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. The Group subsequently measures the financial assets at fair value:
The changes in fair value of equity investments that were recognized in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognized as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(9) Financial assets at amortized cost

- A. Financial assets at amortized cost are those that meet all of the following criteria:
 - (a) The objective of the Group's business model is achieved by collecting contractual cash flows.
 - (b) The assets' contractual cash flows represent solely payments of principal and interest.
- B. On a regular way purchase or sale basis, financial assets at amortized cost are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. A gain or loss is recognized in profit or loss when the asset is derecognized or impaired.
- D. The Group's time deposits which do not fall under cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(10) Notes and accounts receivable

- A. Notes and accounts receivable entitle the Group a legal right to receive consideration in exchange for transferred goods or rendered services.
- B. The short-term notes and accounts receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(11) Impairment of financial assets

For financial assets at amortized cost including accounts receivable that have a significant financing component, at each reporting date, the Group recognizes the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognizes the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable or contract assets that do not contain a significant financing component, the Group recognizes the impairment provision for lifetime ECLs.

(12) Derecognition of financial assets

The Group derecognizes a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

(13) Leasing arrangements (lessor) – lease receivables

Based on the terms of a lease contract, a lease is classified as a finance lease if the lessee assumes substantially all the risks and rewards incidental to ownership of the leased asset.

- (a) At commencement of the lease term, the lessor should record a finance lease in the balance sheet as ‘lease receivables’ at an amount equal to the gross investment in the lease (including initial direct costs). The difference between gross lease receivable and the present value of the receivable is recognized as ‘unearned finance income of finance lease’.
- (b) The lessor should allocate finance income over the lease term based on a systematic and rational basis reflecting a constant periodic rate of return on the lessor’s net investment in the finance lease.
- (c) Lease payments (excluding costs for services) during the lease term are applied against the gross investment in the lease to reduce both the principal and the unearned finance income.

(14) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the weighted-average method. The cost of finished goods and work in progress comprises raw materials, direct labor, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated costs necessary to make the sale.

(15) Property, plant and equipment

- A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalized.
- B. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.
- C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.
- D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures

Main plants	15 years ~ 36 years
Engineering systems	5 years ~ 25 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	2 years ~ 6 years
Leasehold improvements	5 years
Other equipment	3 years ~ 6 years

(16) Leasing arrangements (lessee) — right-of-use assets / lease liabilities

- A. Leases are recognized as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Group. For short-term leases or leases of low-value assets, lease payments are recognized as an expense on a straight-line basis over the lease term.
- B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate. Lease payments are comprised of fixed payments, less any lease incentives receivable. The Group subsequently measures the lease liability at amortized cost using the interest method and recognizes interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognized as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.
- C. At the commencement date, the right-of-use asset is stated at cost comprising the amount of the initial measurement of lease liability. The right-of-use asset is measured subsequently using the cost

model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognized as an adjustment to the right-of-use asset.

- D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognize the difference in profit or loss.

(17) Intangible assets

The Group derecognizes a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

- A. Goodwill arises in a business combination accounted for by applying the acquisition method.
- B. Intangible assets, mainly patent right, are amortized on a straight-line basis over their estimated useful lives of 4~10 years.

(18) Impairment of non-financial assets

- A. The recoverable amounts of goodwill, intangible assets with an indefinite useful life and intangible assets that have not yet been available for use are evaluated periodically. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognized in profit or loss shall not be reversed in the following years.
- B. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

(19) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

(20) Notes and accounts payable

- A. Accounts payable are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.
- B. The short-term notes and accounts payable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(21) Convertible bonds payable

Convertible bonds or issued by the Group contain conversion options (that is, the bondholders have the right to convert the bonds into the Group's common shares by exchanging a fixed amount of cash for a fixed number of common shares), call options and put options. The Group classifies the bonds payable upon issuance as a financial asset, a financial liability or an equity instrument in accordance with the contract terms. They are accounted for as follows:

- A. The embedded call options and put options are recognised initially at net fair value as 'financial assets or financial liabilities at fair value through profit or loss'. They are subsequently remeasured and stated at fair value on each balance sheet date; the gain or loss is recognised as 'gain or loss on valuation of financial assets or financial liabilities at fair value through profit or loss'.
- B. The host contracts of bonds or are initially recognised at fair value. Any difference between the initial recognition and the redemption value is accounted for as the premium or discount on bonds payable or and subsequently is amortised in profit or loss as an adjustment to 'finance costs' over the period of circulation using the effective interest method.
- C. The embedded conversion options which meet the definition of an equity instrument are initially recognised in 'capital surplus—share options' at the residual amount of total issue price less the amount of financial assets or financial liabilities at fair value through profit or loss and bonds payable or as stated above. Conversion options are not subsequently remeasured.
- D. Any transaction costs directly attributable to the issuance are allocated to each liability or equity component in proportion to the initial carrying amount of each abovementioned item.
- E. When bondholders exercise conversion options, the liability component of the bonds (including bonds payable or and 'financial assets or financial liabilities at fair value through profit or loss') shall be remeasured on the conversion date. The issuance cost of converted common shares is the total carrying amount of the abovementioned liability component and 'capital surplus—share options'.

(22) Derecognition of financial liabilities

A financial liability is derecognized when the obligation specified in the contract is either discharged or cancelled or expires.

(23) Non-hedging and embedded derivatives

Non-hedging derivatives are initially recognized at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognized in profit or loss.

(24) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognized as expense in that period when the employees render service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions are recognised as pension expense when they are due on an accrual basis. Prepaid contributions are recognised as an asset to the extent of a cash refund or a reduction in the future payments.

(b) Defined benefit plans

- i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Group in current period or prior periods. The liability recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The net defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.
- ii. Remeasurements arising on the defined benefit plan are recognised in other comprehensive income in the period in which they arise and are recorded as retained earnings.
- iii. Past service costs are recognised immediately in profit or loss.

C. Employees' compensation and directors' and supervisors' remuneration

Employees' compensation and directors' and supervisors' remuneration are recognized as expense and liability, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is paid by shares, the Group calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(25) Employee share-based payment

For the equity-settled share-based payment arrangements, the employee services received are measured at the fair value of the equity instruments granted at the grant date, and are recognised as compensation cost over the vesting period, with a corresponding adjustment to equity. The fair value of the equity instruments granted shall reflect the impact of market vesting conditions and non-vesting conditions. Compensation cost is subject to adjustment based on the service conditions that are expected to be satisfied and the estimates of the number of equity instruments that are expected to vest under the non-market vesting conditions at each balance sheet date. Ultimately, the amount of compensation cost recognised is based on the number of equity instruments that eventually vest.

(26) Income tax

- A. The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or items recognized directly in equity, in which cases the tax is recognized in other comprehensive income or equity.
- B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.
- C. Deferred tax is recognized, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences. Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realized or the deferred tax liability is settled.
- D. Deferred tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each balance sheet date, unrecognized and recognized deferred tax assets are reassessed.
- E. Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realize the asset and settle the liability simultaneously.

(27) Share capital

- A. Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or stock options are shown in equity as a deduction, net of tax, from the proceeds.
- B. Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(28) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(29) Revenue recognition

- A. The Group manufactures and sells optoelectronic components, medical devices, and metal furniture. Sales are recognized when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied.
- B. Revenue from these sales is recognized based on the price specified in the contract, net of the estimated sales returns, discounts, and allowances. Revenue is only recognized to the extent that it is highly probable that a significant reversal will not occur. The estimation is subject to an assessment at each reporting date. A refund liability is recognized for expected sales returns, discounts, and allowances payable to customers in relation to sales made until the end of the reporting period.
- C. A receivable is recognized when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(30) Government grants

Government grants are recognized at their fair value only when there is reasonable assurance that the Group will comply with any conditions attached to the grants and the grants will be received. Government grants are recognized in profit or loss on a systematic basis over the periods in which the Group recognizes expenses for the related costs for which the grants are intended to compensate.

Government grants related to property, plant and equipment are recognized as non-current liabilities and are amortized to profit or loss over the estimated useful lives of the related assets using the straight-line method.

(31) Business combinations

A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments' proportionate share in the recognized amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.

B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognized and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognized directly in profit or loss on the acquisition date.

(32) Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Group's chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors that makes strategic decisions.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The preparation of these consolidated financial statements requires management to make critical judgments in applying the Group's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year; and the related information is addressed below:

(1) Critical judgments in applying the Group's accounting policies

None.

(2) Critical accounting estimates and assumptions

A. Evaluation of inventories

As inventories are stated at the lower of cost and net realizable value, the Group must determine the net realizable value of inventories on balance sheet date using judgments and estimates. Due to the rapid technology innovation, the Group evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date, and writes down the cost of inventories to the net realizable value. Such an evaluation of inventories is principally based on the net realizable value of the products within the specified period in the future. Therefore, there might be material changes to the evaluation.

B. Impairment assessment of goodwill

The impairment assessment of goodwill relies on the Group's subjective judgement, including identifying cash-generating units, allocating assets and liabilities as well as goodwill to related cash-generating units, and determining the recoverable amounts of related cash-generating units. Please refer to Note 6(10) for the information of goodwill impairment.

As of December 31, 2025 and 2024, the Group recognized goodwill, net of impairment loss, amounting to \$30,331.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Cash on hand and petty cash	\$ 438	\$ 379
Checking accounts and demand deposits	354,996	440,842
Time deposits	611,898	679,668
	<u>\$ 967,332</u>	<u>\$ 1,120,889</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

<u>Items</u>	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 2,380	\$ -
Convertible bonds-call / put option	<u>1,200</u>	<u>-</u>
	\$ 3,580	\$ -
Valuation adjustment	<u>(120)</u>	<u>-</u>
	<u>\$ 3,460</u>	<u>\$ -</u>
Non-current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Private equity fund	\$ 30,000	\$ 30,000
Valuation adjustment	<u>12,413</u>	<u>477</u>
	<u>\$ 42,413</u>	<u>\$ 30,477</u>
Current items:		
Financial liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	<u>\$ 2,425</u>	<u>\$ 5,710</u>

A. Amounts recognized in profit or loss in relation to financial assets at fair value through profit or loss are listed below:

	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 864	(\$ 32,518)
Convertible bonds-call / put option	(120)	-
Private equity fund	<u>11,936</u>	<u>(3,626)</u>
	<u>\$ 12,680</u>	<u>(\$ 36,144)</u>

- B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

December 31, 2025		
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy RMB	USD 11,820	2026.01.01~2026.06.30
Sell USD Buy NTD	USD 4,060	2026.01.12~2026.03.10

December 31, 2024		
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy RMB	USD 11,520	2025.01.01~2025.07.28
Sell USD Buy NTD	USD 4,060	2025.01.10~2025.03.10

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income

<u>Items</u>	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Non-current items:		
Equity instruments		
Unlisted stocks		
W Company	\$ 3,143	\$ 3,278
Y Company	3,000	3,000
B Company	<u>2,500</u>	<u>2,500</u>
	<u>\$ 8,643</u>	<u>\$ 8,778</u>

- A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at December 31, 2025 and 2024, the fair value of such investments were the same as the book value.
- B. For the years ended December 31, 2025 and 2024, the fair value changes recognized in other comprehensive income amounted to \$0.
- C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Notes and accounts receivable

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Notes receivable	\$ <u>70,718</u>	\$ <u>22,726</u>
Accounts receivable	\$ 1,105,729	\$ 1,126,727
Less: Allowance for sales returns and discounts	(2,885)	-
Less: Allowance for uncollectible accounts	(<u>4,612</u>)	(<u>2,206</u>)
	<u>\$ 1,098,232</u>	<u>\$ 1,124,521</u>

- A. As at December 31, 2025 and 2024, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2024, the balance of receivables from contracts with customers amounted to \$1,163,743.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

	<u>December 31, 2025</u>		<u>December 31, 2024</u>	
	<u>Notes receivable</u>	<u>Accounts receivable</u>	<u>Notes receivable</u>	<u>Accounts receivable</u>
Not past due	\$ 70,718	\$ 1,080,690	\$ 22,726	\$ 1,112,733
Up to 90 days	-	23,826	-	11,788
Over 91 days	-	<u>1,213</u>	-	<u>2,206</u>
	<u>\$ 70,718</u>	<u>\$ 1,105,729</u>	<u>\$ 22,726</u>	<u>\$ 1,126,727</u>

The above ageing analysis was based on past due date.

- C. As at December 31, 2025 and 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

E. As of December 31, 2025, the Group had outstanding discounted notes receivable amounting to \$36,314. The Group has payment obligation when the drawers of the notes refuse to pay for the notes at maturity. However, in general, the Group does not expect that the drawers of the notes would refuse to pay for the notes at maturity. The liabilities arising on discounted notes receivable were presented as other payables.

(5) Other receivables

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Receipts under custody - Molds	\$ 147,974	\$ 119,594
Molds receivable	8,909	3,858
Other	<u>7,006</u>	<u>5,190</u>
	<u>\$ 163,889</u>	<u>\$ 128,642</u>

(6) Inventories

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Raw materials	\$ 116,956	\$ 106,401
Work in progress	133,481	71,955
Finished goods	<u>110,405</u>	<u>151,416</u>
	360,842	329,772
Less: Allowance for valuation loss	<u>(94,999)</u>	<u>(57,653)</u>
	<u>\$ 265,843</u>	<u>\$ 272,119</u>

The cost of inventories recognized as expense for the year:

	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Cost of inventories sold	\$ 2,942,978	\$ 2,832,713
Loss on decline in market value (gain on reversal)	39,111 (	1,921)
Loss on disposal of inventory	24,698	27,320
Revenue from sale of scraps	<u>(71,457)</u>	<u>(73,363)</u>
	<u>\$ 2,935,330</u>	<u>\$ 2,784,749</u>

For the year ended December 31, 2024, the Group recognized a reversal of inventory write-down and obsolescence as the inventories previously written down were subsequently sold or utilized in production.

(7) Property, plant and equipment

	2025								
	<u>Land</u>	<u>Buildings and structures</u>	<u>Machinery and equipment</u>	<u>Transportation equipment</u>	<u>Office equipment</u>	<u>Leasehold improvements</u>	<u>Other equipment</u>	<u>Construction in progress</u>	<u>Total</u>
At January 1									
Cost	\$ 313,143	\$ 1,150,187	\$ 1,154,975	\$ 26,217	\$ 15,246	\$ 23,195	\$ 198,257	\$ 32,277	\$ 2,913,497
Accumulated depreciation	-	(600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	-	(14,674)	(20,824)	-	(416)	-	(303)	-	(36,217)
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>
Opening net book amount as at January 1	\$ 313,143	\$ 535,418	\$ 307,355	\$ 6,982	\$ 2,533	\$ 8,587	\$ 36,428	\$ 32,277	\$ 1,242,723
Additions	-	32,485	146,327	4,309	1,908	2,320	17,904	168,567	373,820
Disposals	-	-	(2,547)	-	(27)	-	-	-	(2,574)
Depreciation charge	-	(52,148)	(72,995)	(3,463)	(1,260)	(2,517)	(21,561)	-	(153,944)
Reclassifications	-	10,307	17,452	-	-	-	3,209	(21,917)	9,051
Net exchange differences	-	(23,159)	(13,646)	(303)	(13)	-	(685)	(2,324)	(40,130)
Closing net book amount as at December 31	<u>\$ 313,143</u>	<u>\$ 502,903</u>	<u>\$ 381,946</u>	<u>\$ 7,525</u>	<u>\$ 3,141</u>	<u>\$ 8,390</u>	<u>\$ 35,295</u>	<u>\$ 176,603</u>	<u>\$ 1,428,946</u>
At December 31									
Cost	\$ 313,143	\$ 1,153,876	\$ 1,234,484	\$ 28,739	\$ 16,974	\$ 25,515	\$ 215,579	\$ 176,603	\$ 3,164,913
Accumulated depreciation	-	(636,299)	(835,888)	(21,214)	(13,417)	(17,125)	(179,981)	-	(1,703,924)
Accumulated impairment	-	(14,674)	(16,650)	-	(416)	-	(303)	-	(32,043)
	<u>\$ 313,143</u>	<u>\$ 502,903</u>	<u>\$ 381,946</u>	<u>\$ 7,525</u>	<u>\$ 3,141</u>	<u>\$ 8,390</u>	<u>\$ 35,295</u>	<u>\$ 176,603</u>	<u>\$ 1,428,946</u>

2024

		Buildings	Machinery	Transportation	Office	Leasehold	Other	Construction	
	<u>Land</u>	<u>and structures</u>	<u>and equipment</u>	<u>equipment</u>	<u>equipment</u>	<u>improvements</u>	<u>equipment</u>	<u>in progress</u>	<u>Total</u>
At January 1									
Cost									
Accumulated depreciation	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated impairment	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
	<u>-</u>	<u>(14,674)</u>	<u>(14,209)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(28,883)</u>
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1									
	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions									
Disposals	-	17,333	156,400	3,641	2,377	5,844	31,320	29,908	246,823
Depreciation charge	-	(2,193)	(4,761)	-	-	-	-	-	(6,954)
Impairment loss	-	(53,671)	(65,565)	(2,751)	(1,116)	(1,875)	(20,122)	-	(145,100)
Reclassifications	-	-	(6,609)	-	(416)	-	(303)	-	(7,328)
Net exchange differences	-	4,104	25,593	-	53	-	2,518	1,469	33,737
Closing net book amount as at December 31	<u>-</u>	<u>17,006</u>	<u>9,030</u>	<u>311</u>	<u>11</u>	<u>-</u>	<u>(6,567)</u>	<u>177</u>	<u>19,968</u>
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>
At December 31									
Cost	\$ 313,143	\$ 1,150,187	\$ 1,154,975	\$ 26,217	\$ 15,246	\$ 23,195	\$ 198,257	\$ 32,277	\$ 2,913,497
Accumulated depreciation	-	(600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	<u>-</u>	<u>(14,674)</u>	<u>(20,824)</u>	<u>-</u>	<u>(416)</u>	<u>-</u>	<u>(303)</u>	<u>-</u>	<u>(36,217)</u>
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. The Company has estimated that the expected future cash flows of certain machinery and equipment used in the production of products will decrease resulting in a recoverable amount which is less than the book value. Accordingly, for the years ended December 31, 2024, the Group recognized impairment loss of \$7,328.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- E. The amount of reclassifications for the years ended December 31, 2025 and 2024 was reclassified from other non-current assets to property, plant and equipment.

(8) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings and business vehicles. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse and office. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount	
	December 31, 2025	December 31, 2024
Land	\$ 64,541	\$ 73,688
Buildings	19,769	40,816
Business vehicles	2,089	2,992
	<u>\$ 86,399</u>	<u>\$ 117,496</u>

	Depreciation charge	
	Years ended December 31,	
	2025	2024
Land	\$ 1,654	\$ 1,808
Buildings	21,225	26,349
Business vehicles	1,625	1,562
	<u>\$ 24,504</u>	<u>\$ 29,719</u>

- D. For the years ended December 31, 2025 and 2024, the additions to right-of-use assets were \$1,506 and \$14,978, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Years ended December 31,	
	2025	2024
<u>Items affecting profit or loss</u>		
Interest expense on lease liabilities	\$ 747	\$ 1,486
Expense on short-term lease contracts	13,340	11,553
Expense on leases of low-value assets	61	58
Expense on variable lease payments	1,685	656
Gain on lease modification	3	134

F. For the years ended December 31, 2025 and 2024, the Group's total cash outflow for leases were \$40,498 and \$39,415, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

H. On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. Since January 1, 2026, the monthly lease payments will be adjusted according to the price index based on the originally agreed lease contract. The estimated increase in right-of-use assets will be \$296.

(9) Leasing arrangements – lessor

A. The Group leases various assets including land. Rental contracts are typically made for periods of 1 to 3 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. To protect the lessor's ownership rights on the leased assets, leased assets may not be used as security for borrowing purposes, or a residual value guarantee was required.

B. Reconciliation of the undiscounted lease payments and the net investment in the finance lease is provided as follows:

	Years ended December 31,	
	2025	2024
Undiscounted lease payments	\$ -	\$ 1,824
Unearned finance income	-	(55)
Net investment in the lease	<u>\$ -</u>	<u>\$ 1,769</u>

C. The maturity analysis of the undiscounted lease payments in the finance lease is as follows:

	<u>December 31, 2025</u>		<u>December 31, 2024</u>
2025	\$ <u>-</u>	2024	\$ <u>1,824</u>

D. The Group has no overdue lease receivables from the lessee, and the amount of loss arising from credit risk is assessed to be insignificant.

(10) Intangible assets

	<u>2025</u>			
	<u>Patent Right</u>	<u>Goodwill</u>	<u>Other</u>	<u>Total</u>
At January 1				
Cost	\$ 24,100	\$ 45,247	\$ 7,639	\$ 76,986
Accumulated amortization	(4,208)	-	-	(4,208)
Accumulated impairment	-	(14,916)	-	(14,916)
	<u>\$ 19,892</u>	<u>\$ 30,331</u>	<u>\$ 7,639</u>	<u>\$ 57,862</u>
Opening net book amount as at January 1	\$ 19,892	\$ 30,331	\$ 7,639	\$ 57,862
Additions	-	-	1,371	1,371
Amortisation charge	(2,406)	-	(1,642)	(4,048)
Closing net book amount as at December 31	<u>\$ 17,486</u>	<u>\$ 30,331</u>	<u>\$ 7,368</u>	<u>\$ 55,185</u>
At December 31				
Cost	\$ 24,100	\$ 45,247	\$ 9,010	\$ 78,357
Accumulated amortization	(6,614)	-	(1,642)	(8,256)
Accumulated impairment	-	(14,916)	-	(14,916)
	<u>\$ 17,486</u>	<u>\$ 30,331</u>	<u>\$ 7,368</u>	<u>\$ 55,185</u>

	2024			
	Patent Right	Goodwill	Other	Total
At January 1				
Cost	\$ 24,100	\$ 45,247	\$ -	\$ 69,347
Accumulated amortization	(1,802)	-	-	(1,802)
	<u>\$ 22,298</u>	<u>\$ 45,247</u>	<u>\$ -</u>	<u>\$ 67,545</u>
At January 1	\$ 22,298	\$ 45,247	\$ -	\$ 67,545
Additions	-	-	7,639	7,639
Amortisation charge	(2,406)	-	-	(2,406)
Amortization Expenses	-	(14,916)	-	(14,916)
At December 31	<u>\$ 19,892</u>	<u>\$ 30,331</u>	<u>\$ 7,639</u>	<u>\$ 57,862</u>
At December 31				
Cost	\$ 24,100	\$ 45,247	\$ 7,639	\$ 76,986
Accumulated amortization	(4,208)	-	-	(4,208)
Accumulated impairment	-	(14,916)	-	(14,916)
	<u>\$ 19,892</u>	<u>\$ 30,331</u>	<u>\$ 7,639</u>	<u>\$ 57,862</u>

A. The amounts recognized in amortization charge are listed below:

	2025	2024
General and administrative expenses	<u>\$ 4,048</u>	<u>\$ 2,406</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	December 31, 2025	December 31, 2024
Medical businesses	<u>\$ 30,331</u>	<u>\$ 30,331</u>

D. Goodwill is allocated to the Group's cash-generating units identified by operating segments. The recoverable amount is assessed based on value in use, which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. Cash flows beyond the five-year period are estimated using the growth rates described below.

2025

(a)The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions used for the calculation of value in use are as follows:

	2025
Present Value Factor of Perpetuity	2.00%
Discount rate	15.56%

Management determines the operating profit margin for budget based on past performance and their expectations of market development. The adopted weighted average growth rate is consistent with forecasts in industry reports. The discount rate is a pre-tax rate that reflects the specific risks of the relevant operating segments.

(b) The goodwill impairment assessment of the Group as of December 31, 2025 was conducted using the goodwill impairment valuation report issued by TITAN International Financial Advisory Ltd., signed by appraiser HUANG,HUI-ZHEN, with the measurement date: December 31, 2025.

2024

Since its establishment, eBio International Co., Ltd. has continuously faced losses due to market changes and operational challenges. As a result, the actual revenue growth and budget achievement after the acquisition have fallen short of expectations. From the acquisition date to December 31, 2024, there has been a significant discrepancy between the actual revenue and operating profit/loss compared to the original projections.

As of December 31, 2024, the Group assessed the recoverable amount of goodwill by comparing past budget execution results and estimating the fair value of the cash-generating unit based on expected future cash flows. The key assumptions used for the calculation of value in use are as follows:

	<u>2024</u>
Lack of marketability discount	25%~30%
Growth rates	1.50%
Discount rate	15.47%

Based on the aforementioned assessment method, the goodwill impairment loss recognized for the year ended December 31, 2024 was \$14,916.

E. The Group has no intangible assets pledged to others.

(11) Short-term borrowings

As of December 31, 2025, there was no such situation.

<u>Type of borrowings</u>	<u>December 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.09%~2.15%	None

(12) Accounts payable

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts payable	\$ 542,417	\$ 543,732
Estimated accounts payable	<u>84,194</u>	<u>60,567</u>
	<u>\$ 626,611</u>	<u>\$ 604,299</u>

(13) Other payables

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Salaries and bonus payable	\$ 98,607	\$ 113,397
Insurance payable	72,434	74,948
Equipment payable	47,377	17,593
Mold cost payable	46,134	51,116
Liability for discounted notes receivable	36,314	-
Others	<u>86,110</u>	<u>84,134</u>
	<u>\$ 386,976</u>	<u>\$ 341,188</u>

(14) Bonds payable:

	<u>December 31, 2025</u>
Bonds payable	\$ 400,000
Less: Discount on bonds payable	(21,213)
	<u>\$ 378,787</u>

The issuance of 1st domestic secured/unsecured convertible bonds by the Company, as approved by the regulatory authority:

A. The terms are as follows

- (a) The Company issued convertible bonds with a total face value of \$400,000, carrying a coupon rate of 0%, at 111.76% of par, resulting in total proceeds of \$447,042. The bonds have a term of three years, with the circulation period from December 26, 2025 to December 26, 2028. The bonds will be redeemed in cash at face value in a lump sum upon maturity. The convertible bonds were listed for trading on the Taipei Exchange on December 26, 2025. The bonds are guaranteed by CTBC Bank Co., Ltd., with a guarantee coverage ratio of 100%.
- (b) The bondholders have the right to ask for conversion of the bonds into common shares of the Company during the period from the date after three months of the bonds issue to the maturity date, except for the stop transfer period as specified in the terms of the bonds or the applicable laws/regulations. The rights and obligations of the new shares converted from the bonds are the same as the issued and outstanding common shares.
- (c) The conversion price of the bonds is determined in accordance with the pricing model as specified in the terms of the bonds, and is subject to adjustments in accordance with the anti-dilution provisions if relevant conditions occur subsequently. In addition, on each reset date as specified in the terms of the bonds, the conversion price shall be recalculated based on the pricing model. If the recalculated conversion price is higher than the conversion price before the reset, no adjustment shall be made.
- (d) The bondholders have the right to require the Company to redeem any bonds at a price equal to the face value of the bonds upon three years from the issue date.

- (e) The Company may repurchase all the bonds outstanding in cash at the bonds' face value at any time after the following events occur: (i) the closing price of the Company common shares is above the then conversion price by 30% for 30 consecutive trading days during the period from the date after one month of the bonds issue to 40 days before the maturity date, or (ii) the outstanding balance of the bonds is less than 10% of total initial issue amount during the period from the date after three months of the bonds issue to 40 days before the maturity date.
- (f) Under the terms of the bonds, all bonds redeemed (including bonds repurchased from the Taipei Exchange), matured and converted are retired and not to be re-issued; all rights and obligations attached to the bonds are also extinguished.
- B. Regarding the issuance of convertible bonds, the equity conversion options amounting to \$66,922 were separated from the liability component and were recognised in 'capital surplus—share options' in accordance with IAS 32. The call options and put options embedded in bonds payable were separated from their host contracts and were recognised in 'financial assets or liabilities at fair value through profit or loss' in net amount in accordance with IFRS 9 because the economic characteristics and risks of the embedded derivatives were not closely related to those of the host contracts. The effective interest rates of the bonds payable after such separation ranged between 1.81% ~ 1.82%.
- C. As of December 31, 2025, no conversion of the bonds into common shares has occurred, as the conversion period has not yet commenced.

2024: None.

(15) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2025</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from July 8, 2025 to November 28, 2030; interest is payable monthly.	8.35%~9.00%	Please refer to Note 8	\$ 123,613
Less: Current portion				(19,493)
				<u>\$ 104,120</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 200,000
Less: Current portion				(50,000)
				<u>\$ 150,000</u>

(16) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

- (b) The amounts recognized in the balance sheet are as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Present value of defined benefit obligations	(\$ 4,877)	(\$ 4,772)
Fair value of plan assets	<u>18,474</u>	<u>16,971</u>
Net defined benefit asset	<u>\$ 13,597</u>	<u>\$ 12,199</u>

(c) Movements in net defined benefit assets are as follows:

	2025		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 4,772)	\$ 16,971	\$ 12,199
Interest (expense) income	(72)	255	183
	(4,844)	17,226	12,382
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,248	1,248
Change in financial assumptions	(41)	-	(41)
Experience adjustments	8	-	8
	(33)	1,248	1,215
At December 31	(\$ 4,877)	\$ 18,474	\$ 13,597

	2024		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 6,158)	\$ 16,364	\$ 10,206
Interest (expense) income	(69)	184	115
	(6,227)	16,548	10,321
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,473	1,473
Change in financial assumptions	133	-	133
Experience adjustments	272	-	272
	405	1,473	1,878
At December 31	1,050	(1,050)	-
	(\$ 4,772)	\$ 16,971	\$ 12,199

- (d) The Bank of Taiwan was commissioned to manage the Fund of the Company's defined benefit pension plan in accordance with the Fund's annual investment and utilization plan and the "Regulations for Revenues, Expenditures, Safeguard and Utilization of the Labor Retirement Fund" (Article 6: The scope of utilization for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitization products, etc.). With regard to the utilization of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks. If the earnings is less than aforementioned rates, government shall make payment for the deficit after being authorized by the Regulator. The Company has no right to participate in managing and operating that fund and hence the Company is unable to disclose the classification of plan assets fair value in accordance with IAS 19 paragraph 142. The composition of fair value of plan assets as of December 31, 2025 and 2024 is given in the Annual Labor Retirement Fund Utilization Report announced by the government.
- (e) The principal actuarial assumptions used were as follows:

	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Discount rate	<u>1.375%</u>	<u>1.500%</u>
Future salary increases	<u>3%</u>	<u>3%</u>

- i. Future mortality rate was estimated based on the 6th Taiwan Standard Ordinary Experience Mortality Table.
- ii. Because the main actuarial assumption changed, the present value of defined benefit obligation is affected. The analysis was as follows:

	<u>Discount rate</u>		<u>Future salary increases</u>	
	<u>Increase 0.25%</u>	<u>Decrease 0.25%</u>	<u>Increase 0.25%</u>	<u>Decrease 0.25%</u>
<u>December 31, 2025</u>				
Effect on present value of defined benefit obligation	<u>(\$ 81)</u>	<u>\$ 83</u>	<u>\$ 80</u>	<u>(\$ 78)</u>
<u>December 31, 2024</u>				
Effect on present value of defined benefit obligation	<u>(\$ 86)</u>	<u>\$ 88</u>	<u>\$ 85</u>	<u>(\$ 84)</u>

- iii. The sensitivity analysis above is based on one assumption which changed while the other conditions remain unchanged. In practice, more than one assumption may change all at once. The method of analyzing sensitivity and the method of calculating net pension liability in the balance sheet are the same.

- iv. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period
- (f) The Company has acquired the approval from the Hsinchu County Government to suspend its contribution to the defined benefit pension plan for 2025 and 2024.
- (g) As of December 31, 2025 and 2024, the weighted average duration of the retirement plan is 6.7 and 7.3 years, respectively.
- (h) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$93 and \$85 for the years ended December 31, 2025 and 2024, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plan of the Group for the years ended December 31, 2025 and 2024 were \$36,747 and \$35,472, respectively.

(17) Share-based payment

2025

A. The Company’s share-based payment arrangements were as follows:

<u>Type of arrangement</u>	<u>Grant date</u>	<u>Quantity granted</u>	<u>Contract period</u>	<u>Vesting conditions</u>
Cash capital increase reserved for employee preemption	2025.12.10	3,150 thousand shares	NA	Vested immediately

Among the share-based payment arrangements above are settled by equity.

B. Details of the share-based payment arrangements are as follows:

	<u>2025</u>	
	No. of options (in thousands)	Weighted- average exercise price (in dollars)
Options outstanding at January 1	-	\$ -
Options granted	<u>3,150</u>	35
Options outstanding at December 31	<u>3,150</u>	35
Options exercisable at December 31	<u>3,150</u>	35

C. The fair value of stock options granted on grant date is measured using the Black-Scholes option-pricing model. Relevant information is as follows:

Type of arrangement	Grant date	Stock price	Exercise price	Expected price volatility	Expected option life	Expected dividends	Risk- free interest rate	Fair value per unit
Employee stock options	2025.12.10	46.5	35	65.81%	29 days	-	1.20%	11.73

Note: Expected price volatility rate was estimated by using the stock prices of the most recent period with length of this period approximate to the length of the stock options' expected life, and the standard deviation of return on the stock during this period.

D. Expenses incurred on share-based payment transactions are shown below:

	<u>Year ended December 31,</u> <u>2025</u>
Equity-settled	<u>\$ 36,950</u>
<u>2024</u> : None.	

(18) Share capital

A. As of December 31, 2025, the Company's authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company's ordinary shares in thousands outstanding are as follows:

	<u>2025</u>	<u>2024</u>
At January 1	88,263	89,263
Treasury shares buyback	-	(1,000)
At December 31	<u>88,263</u>	<u>88,263</u>

B. On March 25, 2025, the shareholders' meeting resolved not to proceed with the previously approved private placement of up to 15,000 thousand common shares or domestic convertible corporate bonds, as resolved in the shareholders' meeting on May 24, 2024. As of March 25, 2025, no private placement of common shares or domestic convertible corporate bonds had been executed under this fundraising plan.

C. The Company's Board of Directors resolved on August 13, 2025, to issue 21,000 thousand ordinary shares with a par value of NT\$10 per share through a cash capital increase. The capital increase record date was January 13, 2026, and the shares were issued at a subscription price of NT\$35 per share, resulting in total proceeds of NT\$735,000. The registration was approved by the competent authority on February 3, 2026. As of December 31, 2025, proceeds of NT\$53,713 had been received in advance.

D. Treasury Shares

(a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		<u>December 31, 2025</u>	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

		<u>December 31, 2024</u>	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of share (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

(b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.

(c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.

(d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(19) Capital surplus

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Share premium	\$ 1,461,724	\$ 1,505,856
From business combinations	31,797	31,797
Treasury shares transactions	76,571	76,571
Changes in ownership interests in subsidiaries	-	7,906
Employee stock options	36,950	-
Share options	66,922	-
	<u>\$ 1,673,964</u>	<u>\$ 1,622,130</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 9, 2024, the Company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).
- C. On March 25, 2025, the Company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(20) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.
- D. Special reserve
 - (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.

(b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1090150022, dated March 31, 2021, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings (losses)

(a) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

(b) The appropriations of 2024 losses had been resolved at the annual shareholders' meeting on May 15 2025. Details are summarized below:

	2024	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 9,727)	
Reversal of special reserve	(89,208)	

(c) The appropriation of 2025 losses was proposed by the Board of Directors on March 12, 2026. Details are summarized below.

	2025	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 142,048)	
Appropriation of capital surplus to offset losses	(60,014)	

The aforementioned proposal for the appropriation of 2025 losses had not yet been resolved at the shareholders' meeting as of March 12, 2026.

(21) Other equity items

	2025	2024
At January 1	(\$ 280,708)	(\$ 369,916)
Currency translation differences:		
–Group	(74,540)	89,208
At December 31	(\$ 355,248)	(\$ 280,708)

(22) Operating revenue

	Year ended December 31,	
	2025	2024
Revenue from contracts with customers	\$ 3,264,017	\$ 3,228,543

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Year ended December 31, 2025	Domestic	Asia	Total
Total segment revenue	\$ 1,368,744	\$ 2,148,755	\$ 3,517,499
Inter-segment revenue	(4,721)	(248,761)	(253,482)
Revenue from external customer contracts	\$ 1,364,023	\$ 1,899,994	\$ 3,264,017
Year ended December 31, 2024	Domestic	Asia	Total
Total segment revenue	\$ 1,106,769	\$ 2,174,946	\$ 3,281,715
Inter-segment revenue	(5,603)	(47,569)	(53,172)
Revenue from external customer contracts	\$ 1,101,166	\$ 2,127,377	\$ 3,228,543

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	December 31, 2025	December 31, 2024	January 1, 2024
Contract liabilities	\$ 1,442	\$ 1,900	\$ 4,082

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	Year ended December 31,	
	2025	2024
Revenue recognized	\$ 142	\$ 442

(23) Interest income

	Year ended December 31,	
	2025	2024
Interest income from bank deposits	\$ 10,874	\$ 17,349
Interest income from financial assets at amortized cost	4	6,300
Other interest income	108	63
	<u>\$ 10,986</u>	<u>\$ 23,712</u>

(24) Other income

	Year ended December 31,	
	2025	2024
Subsidy income	\$ 5,031	\$ 8,119
Mold revenue	2,090	1,090
Solar revenue	1,920	2,002
Other income	8,644	7,013
	<u>\$ 17,685</u>	<u>\$ 18,224</u>

(25) Other gains and losses

	Year ended December 31,	
	2025	2024
(Loss) gain on disposal of property, plant and equipment	(\$ 365)	\$ 2,890
Gain on lease modification	3	134
Impairment loss recognized in profit or loss, property, plant and equipment	-	(7,328)
Foreign exchange (loss) gains	(10,334)	35,110
Gain (loss) on financial assets and liabilities at fair value through profit or loss	12,680	(36,144)
Impairment loss recognized in profit or loss, intangible assets other than goodwill.	-	(14,916)
Miscellaneous disbursements	(4,202)	(13,778)
	<u>(\$ 2,218)</u>	<u>(\$ 34,032)</u>

(26) Finance costs

	Years ended December 31,	
	2025	2024
Interest expense from bank borrowings	\$ 8,141	\$ 5,415
Interest expense from lease liabilities	747	1,486
Other finance cost	504	-
	<u>\$ 9,392</u>	<u>\$ 6,901</u>

(27) Expenses by nature

	Years ended December 31,	
	2025	2024
Employee benefit expense		
Wages and salaries	\$ 732,174	\$ 683,875
Labour and health insurance fees	55,768	55,247
Pension costs	36,657	35,442
Other personnel expenses	44,117	41,127
	<u>\$ 868,716</u>	<u>\$ 815,691</u>
Depreciation charges on property, plant and equipment	\$ 153,944	\$ 145,100
Depreciation charges on right-of-use assets	24,504	29,719
Amortization charges on intangible assets	4,048	2,406
Amortization charges on molds	11,660	12,792

(28) Employee benefit expense

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. For the year ended December 31, 2025 and 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- C. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(29) Income tax

A. Components of income tax expense

	Years ended December 31,	
	2025	2024
Current tax:		
Current tax for the period	\$ 32,083	\$ 65,755
Prior year income tax underestimation	1,046	8,727
Total current tax	33,129	74,482
Deferred tax:		
Origination and reversal of temporary differences	(29,625)	(31,606)
Income tax expense	\$ 3,504	\$ 42,876

B. Reconciliation between income tax expense and accounting profit

	Years ended December 31,	
	2025	2024
Tax calculated based on profit before tax and statutory tax rate (Note)	(\$ 56,036)	\$ 18,423
Expenses disallowed by tax regulation	1,457	7,071
Tax exempt income by tax regulation	(2,907)	(4,298)
Taxable loss not recognized as deferred tax assets	74,717	22,416
Change in assessment of realization of deferred tax assets	(29,625)	(31,606)
Prior year income tax underestimation	1,046	8,727
Subsidiaries' repatriation of earnings withholding tax	11,804	26,093
Withholding tax on overseas royalties	2,472	3,216
Other	576	(7,166)
Income tax expense	\$ 3,504	\$ 42,876

Note: The basis for computing the applicable tax rate are the rates applicable in the respective countries where the Group entities operate.

C. Amounts of deferred tax assets or liabilities as a result of temporary differences are as follows:

2025			
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
— Temporary differences:			
Unrealized mold loss	\$ 14,033	(\$ 6,367)	\$ 7,666
Unrealized loss on inventories	9,742	4,009	13,751
Property, plant and equipment tax difference	8,863	20	8,883
Unrealized impairment loss of investments accounted for under equity method	2,983	-	2,983
Others	9,035	(759)	8,276
	<u>44,656</u>	<u>(3,097)</u>	<u>41,559</u>
Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(172,089)	32,461	(139,628)
Unrealized exchange gain	(264)	264	-
Others	(3,961)	(3)	(3,964)
	<u>(176,314)</u>	<u>32,722</u>	<u>(143,592)</u>
	<u>(\$ 131,658)</u>	<u>\$ 29,625</u>	<u>(\$ 102,033)</u>
2024			
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
— Temporary differences:			
Unrealized mold loss	\$ 14,272	(\$ 239)	\$ 14,033
Unrealized loss on inventories	9,529	213	9,742
Property, plant and equipment tax difference	10,202	(1,339)	8,863
Unrealized impairment loss of investments accounted for under equity method	-	2,983	2,983
Others	8,632	403	9,035
	<u>\$ 42,635</u>	<u>\$ 2,021</u>	<u>\$ 44,656</u>
Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(200,397)	28,308	(172,089)
Unrealized exchange gain	(5,502)	5,238	(264)
Others	-	(3,961)	(3,961)
	<u>(205,899)</u>	<u>29,585</u>	<u>(176,314)</u>
	<u>(\$ 163,264)</u>	<u>\$ 31,606</u>	<u>(\$ 131,658)</u>

D. Expiration dates of unused tax losses and amounts of unrecognized deferred tax assets are as follows:

December 31, 2025					
<u>Year incurred</u>	<u>Amount filed/ assessed</u>	<u>Unused amount</u>	<u>Unrecognized deferred tax assets</u>	<u>Expiry year</u>	
2018	\$ 3,523	\$ 3,523	\$ 3,523	2028	
2019	134,204	93,109	93,109	2029	
2020	5,716	5,716	5,716	2030	
2021	4,876	4,876	4,876	2031	
2022	6,904	6,904	6,904	2032	
2023	7,505	7,505	7,505	2033	
2024	7,185	7,185	7,185	2034	
2025	38,558	38,558	38,558	2035	

December 31, 2024					
<u>Year incurred</u>	<u>Amount filed/ assessed</u>	<u>Unused amount</u>	<u>Unrecognized deferred tax assets</u>	<u>Expiry year</u>	
2018	\$ 3,523	\$ 3,523	\$ 3,523	2028	
2019	134,204	93,109	93,109	2029	
2020	5,716	5,716	5,716	2030	
2021	4,876	4,876	4,876	2031	
2022	6,904	6,904	6,904	2032	
2023	7,511	7,511	7,511	2033	
2024	6,366	6,366	6,366	2034	

E. The Company and its domestic subsidiaries' income tax returns through 2023 have been assessed and approved by the Tax Authority.

(30) Loss per share

Year ended December 31, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 197,326)	88,263	(\$ 2.24)

Year ended December 31, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 101,021)	88,307	(\$ 1.14)

Note: For the year 2025, the Company's convertible bonds and employee stock options were anti-dilutive; therefore, they were not included in the calculation of diluted earnings per share as they had no dilutive effect on common shares.

(31) Supplemental cash flow information

Investing activities with partial cash payments:

	Years ended December 31,	
	2025	2024
Purchase of property, plant and equipment	\$ 373,820	\$ 246,823
Add: Opening balance of payable on equipment	17,593	11,381
Opening balance of payable on construction	696	627
Less: Ending balance of payable on equipment	(47,377)	(17,593)
Ending balance of payable on construction	(911)	(696)
Cash paid during the year	<u>\$ 343,821</u>	<u>\$ 240,542</u>

(32) Changes in liabilities from financing activities

	2025					
	Short-term borrowings	Bond Payable	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 45,000	\$ -	\$ 200,000	\$ 41,158	\$ 1,375	\$ 287,533
Changes in cash flow from financing activities	(45,000)	447,042	(75,731)	(25,412)	-	300,899
Changes in other non-cash items	-	(68,255)	-	2,253	-	(66,002)
Impact of changes in foreign exchange rate	-	-	(655)	(592)	(11)	(1,258)
At December 31	<u>\$ -</u>	<u>\$ 378,787</u>	<u>\$ 123,614</u>	<u>\$ 17,407</u>	<u>\$ 1,364</u>	<u>\$ 521,172</u>
	2024					
	Short-term borrowings		Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 45,000		\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities	-		(57,633)	(27,148)	161	(84,620)
Changes in other non-cash items	-		-	16,464	-	16,464
Impact of changes in foreign exchange rate	-		-	(3,155)	22	(3,133)
At December 31	<u>\$ 45,000</u>		<u>\$ 200,000</u>	<u>\$ 41,158</u>	<u>\$ 1,375</u>	<u>\$287,533</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
Shin Zu Shing Co., Ltd.	Other related party

(2) Significant related party transactions

A. Operating revenue:

	<u>Year ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Sales of goods:		
Other related parties	\$ <u>1,592</u>	\$ <u>7,734</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Lease transactions-lessee

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.
- (b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The right-of-use assets increased by \$14,356. Increased to book value \$43,980. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,401.
- (c) On January 1, 2025, the Company adjusted the monthly lease payments under the original lease agreement based on the consumer price index. The newly recognized right-of-use asset amounted to \$557, resulting in a total carrying amount of \$29,877.

(d) Right-of-use assets

i. Carrying amount

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>14,938</u>	\$ <u>29,320</u>

ii. Depreciation charge

	<u>Year ended</u> <u>December 31, 2025</u>	<u>Year ended</u> <u>December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>14,938</u>	\$ <u>14,232</u>

(e) Lease liabilities

i. Carrying amount

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>15,286</u>	\$ <u>29,725</u>

ii. Interest expense

	<u>Year ended December 31, 2025</u>	<u>Year ended December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>450</u>	\$ <u>676</u>

(f) Rent expense, administrative expenses and disbursement fee

	<u>Year ended December 31, 2025</u>	<u>Year ended December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>3,931</u>	\$ <u>3,115</u>

C. Receivable from related parties

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts receivable: Other related parties	\$ <u>-</u>	\$ <u>2,549</u>

D. Payables to related parties

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Other payables: Other related parties	\$ <u>351</u>	\$ <u>217</u>

(3)Key management compensation

	<u>Year ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Short-term employee benefits	\$ <u>20,506</u>	\$ <u>19,900</u>
Post-employment benefits	<u>883</u>	<u>570</u>
	\$ <u>21,389</u>	\$ <u>20,470</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>		<u>Purpose</u>
	<u>December 31, 2025</u>	<u>December 31, 2024</u>	
Financial assets at amortized cost – current	\$ <u>268</u>	\$ <u>547</u>	Customs guarantee
Financial assets at amortized cost – non-current	<u>371</u>	<u>-</u>	Contract bond
Property, plant, and equipment			
Land	<u>273,059</u>	<u>273,059</u>	Bank secured borrowings
Buildings and structures	<u>282,546</u>	<u>136,646</u>	Bank secured borrowings
Other non-current assets			
Guarantee deposits paid	<u>10,671</u>	<u>9,720</u>	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

A. Contingent Liabilities

None.

B. Commitments

As of December 31, 2025, the Group had opened unused letters of credit for importing inventories and equipment of \$1,437.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

A. Please refer to Note 6(8)H, Note 6(18)C and Note 6(20)E. for further details.

B. On March 12, 2026, the Company's board of directors resolved a cash distribution of \$65,558 from the capital surplus (\$0.6 per share)

C. On March 12, 2026, the Company's board of directors resolved to approve a proposal for a private placement of up to 50,000 thousand common shares or domestic convertible bonds.

12. Others

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Group (comprising issued capital, reserves, retained earnings and other equity). The Group is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Financial assets</u>		
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 45,873	\$ 30,477
Financial assets at fair value through other comprehensive income	8,643	8,778
Financial assets at amortized cost		
Cash and cash equivalents	967,332	1,120,889
Financial assets at amortized cost (current and non-current)	639	547
Notes receivable, net	70,718	22,726
Accounts receivable, net	1,098,232	1,124,521
Accounts receivable-related parties	-	2,549
Other receivables	163,889	128,642
Finance lease receivable (current and non-current)	-	1,769
Guarantee deposits paid	<u>10,671</u>	<u>9,720</u>
	<u>\$ 2,365,997</u>	<u>\$ 2,450,618</u>
	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Financial liabilities</u>		
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 2,425	\$ 5,710
Financial liabilities at amortized cost		
Short-term borrowings	-	45,000
Accounts payable	626,611	604,299
Other payables	386,976	341,188
Other payables-related parties	351	217
Bonds payable (including current portion)	378,787	-
Long-term borrowings (including current portion)	123,613	200,000
Guarantee deposits received	<u>1,364</u>	<u>1,375</u>
	<u>\$ 1,520,127</u>	<u>\$ 1,197,789</u>
Lease liabilities (current and non-current)	<u>\$ 17,407</u>	<u>\$ 41,158</u>

B. Financial risk management policies

- (a) The Group's major financial instruments included equity investments, accounts receivable, accounts payable, and bank borrowings. The Group's Corporate Treasury function provides services to the business, coordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Group through internal risk reports which analyze exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.
- (b) The Group sought to minimize the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of financial derivatives was governed by the Group's policies approved by the board of directors, which provided written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits was reviewed by the internal auditors on a continuous basis. The Group did not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

December 31, 2025				
(Foreign currency: functional currency)	Foreign currency		Book value	
	amount		(NTD)	
	<u>(In thousands)</u>	<u>Exchange rate</u>		
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$ 11,270	31.4300	\$	354,216
USD:RMB	13,290	7.0288		417,705
USD:VND	5,450	26,231		171,294
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	\$ 436	31.4300	\$	13,703
USD:RMB	292	7.0288		9,178
USD:VND	3,513	26,231		110,414
December 31, 2024				
(Foreign currency: functional currency)	Foreign currency		Book value	
	amount		(NTD)	
	<u>(In thousands)</u>	<u>Exchange rate</u>		
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$ 6,852	32.7850	\$	224,643
USD:RMB	13,428	7.1880		440,237
USD:VND	3,733	24,335		122,386
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	\$ 489	32.7850	\$	16,032
USD:RMB	2,242	7.1880		73,504
USD:VND	906	24,335		29,703

- iii. Total exchange gains (losses), including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the years ended December 31, 2025 and 2024, amounted to (\$10,334) and \$35,110, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Year ended December 31, 2025					
Sensitivity analysis					
	Degree of <u>variation</u>	Effect on <u>profit or loss</u>	Effect on other comprehensive <u>income</u>		
(Foreign currency: functional currency)					
<u>Financial assets</u>					
<u>Monetary items</u>					
USD:NTD	1%	\$ 3,542	\$		-
USD:RMB	1%	4,177			-
USD:VND	1%	1,713			-
<u>Financial liabilities</u>					
<u>Monetary items</u>					
USD:NTD	1%	\$ 137	\$		-
USD:RMB	1%	92			-
USD:VND	1%	1,104			-

	Year ended December 31, 2024				
	Sensitivity analysis				
	Degree of variation		Effect on profit or loss		Effect on other comprehensive income
(Foreign currency: functional currency)					
<u>Financial assets</u>					
<u>Monetary items</u>					
USD:NTD	1%	\$	2,246	\$	-
USD:RMB	1%		4,402		-
USD:VND	1%		1,224		-
<u>Financial liabilities</u>					
<u>Monetary items</u>					
USD:NTD	1%	\$	160	\$	-
USD:RMB	1%		735		-
USD:VND	1%		297		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. During 2025 and 2024, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the years ended December 31, 2025 and 2024 would have increased/decreased by \$989 and \$1,600, respectively. The main factor is that changes in interest expense result from floating rate borrowings.
- (b) Credit risk
- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
 - ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
 - iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
 - iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
 - v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On December 31, 2025 and 2024, the provision matrix is as follows:

<u>December 31, 2025</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~0.05%	\$ 1,080,690	\$ 3,399
Up to 90 days	0%~0.05%	23,826	-
Over 91 days	100%	1,213	1,213
		<u>\$ 1,105,729</u>	<u>\$ 4,612</u>

<u>December 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~0.03%	\$ 1,112,733	\$ -
Up to 90 days	0%~0.03%	11,788	-
Over 91 days	100%	2,206	2,206
		<u>\$ 1,126,727</u>	<u>\$ 2,206</u>

- viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2025</u>		
	<u>Accounts receivable</u>	<u>Mold receivable</u>	<u>Total</u>
At January 1	\$ 2,206	\$ -	\$ 2,206
Provision for impairment loss	2,412	-	2,412
Effect of foreign rate exchange	(6)	-	(6)
At December 31	<u>\$ 4,612</u>	<u>\$ -</u>	<u>\$ 4,612</u>

	<u>2024</u>		
	<u>Accounts receivable</u>	<u>Mold receivable</u>	<u>Total</u>
At January 1	\$ 578	\$ 5,996	\$ 6,574
Provision for (reversal of) impairment loss	1,646	(6,249)	(4,603)
Write-offs	(27)	-	(27)
Effect of foreign rate exchange	9	253	262
At December 31	<u>\$ 2,206</u>	<u>\$ -</u>	<u>\$ 2,206</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Floating rate:		
Expiring within one year	\$ 1,484,093	\$ 1,990,909
Expiring beyond one year	76,161	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>December 31, 2025</u>				
<u>Non-derivative financial liabilities</u>				
Accounts payable	\$ 626,611	\$ -	\$ -	\$ -
Other payables	386,976	-	-	-
Other payables-related parties	351	-	-	-
Lease liabilities	17,003	539	54	-
Long-term borrowings (including current portion)	28,050	50,800	64,684	-
Bonds payable	-	-	400,000	-
Guarantee deposits received	1,364	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 2,425	\$ -	\$ -	\$ -

<u>December 31, 2024</u>	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,036	\$ -	\$ -	\$ -
Accounts payable	604,299	-	-	-
Accounts payable-related parties	341,188	-	-	-
Other payables	217	-	-	-
Other payables-related parties	25,295	16,524	214	-
Long-term borrowings (including current portion)	53,940	53,940	107,858	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 5,710	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, net, accounts receivable, net (including related parties), finance lease receivable, net, other receivables, guarantee deposits paid, short-term borrowings, notes payable (including related parties), accounts payable (including related parties), other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. Financial instruments not measured at fair value

- (a) Except for those listed in the table below, the carrying amounts of cash and cash equivalents, accounts receivable, net (including related parties), other receivables (including related parties), guarantee deposits paid, short-term borrowings, accounts payable (including related parties), and other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

	December 31, 2025			
	Book value	Fair Value		
		Level 1	Level 2	Level 3
<u>Financial liabilities</u>				
Bonds payable	\$ 378,787	\$ -	\$ 381,360	\$ -

2024

None.

- (b) The methods and assumptions of fair value estimate are as follows:

Bonds payable: They are measured at present value, which is calculated based on the cash flow expected to be paid and discounted using a market rate prevailing at balance sheet date.

D. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

- (a) The related information on the nature of the assets and liabilities is as follows:

	December 31, 2025	Level 1	Level 2	Level 3	Total
Assets					
<u>Recurring fair value measurements</u>					
Financial assets at fair value through profit or loss					
Forward foreign exchange contracts	\$ -	\$ 2,380	\$ -	\$ -	\$ 2,380
Convertible bonds-call / put option	-	1,080	-	-	1,080
Private equity fund	-	-	42,413	-	42,413
Financial assets at fair value through other comprehensive income					
Equity instruments	-	-	8,643	-	8,643
	\$ -	\$ 3,460	\$ 51,056	\$ -	\$ 54,516
Liabilities					
<u>Recurring fair value measurements</u>					
Financial liabilities at fair value through profit or loss					
Forward foreign exchange contracts	\$ -	\$ 2,425	\$ -	\$ -	\$ 2,425

<u>December 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Private equity fund	\$ -	\$ -	\$ 30,477	\$ 30,477
Financial assets at fair value through other comprehensive income				
Equity instruments	<u>-</u>	<u>-</u>	<u>8,778</u>	<u>8,778</u>
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 39,255</u>	<u>\$ 39,255</u>

Liabilities

Recurring fair value measurements

Financial liabilities at fair value through profit or loss

Forward foreign exchange contracts \$ - \$ 5,710 \$ - \$ 5,710

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.

- iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- E. For the years ended December 31, 2025 and 2024, there was no transfer between Level 1 and Level 2.
- F. The following chart is the movement of Level 3 for the years ended December 31, 2025 and 2024:

	Equity instrument	
	2025	2024
At January 1	\$ 39,255	\$ 28,173
Recognized in profit or loss	11,936	(3,626)
Acquired during the period	-	14,500
Effect of exchange rate changes	(135)	208
At December 31	<u>\$ 51,056</u>	<u>\$ 39,255</u>

- G. The transfer-out amount from Level 3 was \$0 for the years ended December 31, 2025, and 2024, respectively.
- H. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

I. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>December 31, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,643	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	42,413	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,778	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.

E. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.

F. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

A. Basic information: Refer to table 5.

B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

Year ended December 31, 2025	Domestic	Asia	Total
Revenue from external customers	\$ 1,364,023	\$ 1,899,994	\$ 3,264,017
Inter- segment revenue (Note)	4,721	248,761	253,482
Total segment revenue	\$ 1,368,744	\$ 2,148,755	\$ 3,517,499
Segment (loss) income	(\$ 198,771)	(\$ 65,818)	(\$ 264,589)
Year ended December 31, 2024	Domestic	Asia	Total
Revenue from external customers	\$ 1,101,166	\$ 2,127,377	\$ 3,228,543
Inter- segment revenue (Note)	5,603	47,569	53,172
Total segment revenue	\$ 1,106,769	\$ 2,174,946	\$ 3,281,715
Segment (loss) income	(\$ 212,955)	\$ 116,377	(\$ 96,578)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the years ended December 31, 2025 and 2024 is provided as follows:

	Year ended December 31,	
	2025	2024
Reportable segments (loss) gain	(\$ 264,589)	(\$ 96,578)
Total non-operating income and expenses	17,061	1,003
(Loss) income before tax from continuing operations	(\$ 247,528)	(\$ 95,575)

(4) Information on products and services

A. Revenue from external customers is mainly from manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices.

B. Details of revenue are as follows:

	Year ended December 31,	
	2025	2024
Optoelectronic component	\$ 2,032,933	\$ 2,184,094
Metal furniture	916,591	873,041
Medical device	246,027	171,408
Other	68,466	-
	<u>\$ 3,264,017</u>	<u>\$ 3,228,543</u>

(5) Geographical information

Geographical information for the years ended December 31, 2025 and 2024 is as follows:

	Year ended December 31, 2025		Year ended December 31, 2024	
	Revenue	Non-current assets	Revenue	Non-current assets
Domestic	\$ 1,364,023	\$ 627,926	\$ 1,101,166	\$ 659,465
Asia	1,899,994	964,275	2,127,377	788,617
	<u>\$ 3,264,017</u>	<u>\$ 1,592,201</u>	<u>\$ 3,228,543</u>	<u>\$ 1,448,082</u>

Non-current assets are property, plant and equipment, right-of-use assets, intangible assets and other non-current assets, but exclude financial instruments, investments accounted for under equity method, deferred income tax assets and post-retirement benefit assets.

(6) Major customer information

Major customers representing at least 10% of net revenue is as follows:

	Year ended December 31, 2025		Year ended December 31, 2024	
	Revenue	%	Revenue	%
Z	\$ 831,445	25	\$ 751,166	23
A	468,857	14	535,032	17
Q	274,790	8	359,809	11
	<u>\$ 1,575,092</u>	<u>47</u>	<u>\$ 1,646,007</u>	<u>51</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Year ended December 31, 2025

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No.				Is a	Maximum	Ending Balance	Actual amount	Interest	Nature of	Amount of	Reason	Allowance	Collateral		Limit on loans	Ceiling on	
(Note 1)	Creditor	Borrower	General ledger account	party	for the Period	(Note 2)	drawn down	rate	(Note3)	borrower	for short-term	for doubtful	Item	Value	(Note 1)	(Note 1)	Footnote
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 40,000	\$ -	\$ -	-	2	-	-	-	-	-	\$ 492,027	\$ 984,054	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

Note 3: Nature of Loan

(1) For operational or transaction purposes.

(2) For short-term financial needs.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided
Year ended December 31, 2025

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
		Name	Relationship											
0	The Company	eBio Technology	Note 1	\$ 1,230,068	\$ 20,000	\$ -	\$ -	None	0.00%	\$ 2,460,136	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
December 31, 2025

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of December 31, 2025				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 42,413	3%	\$ 42,413	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Year ended December 31, 2025

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2025			Net profit (loss) of the investee for the years ended December 31, 2025	Investment income (loss) recognised by the Company for the years ended December 31, 2025		Footnote
				Balance as at December 31, 2025	Balance as at December 31, 2024	Number of shares	Ownership					
							(%)	Book value				
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,262,805	\$ 1,149,099	40,465	100%	\$ 1,699,109	(\$ 50,606)	(\$ 50,380)		
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	22,560	(8,803)	(9,094)		
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	113,102	71,114	17,994	75.49%	46,044	(4,774)	(4,878)		
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,804	17,009	17,009		
JOCHU BVI	PIH	Singapore	Investment holding	609,961	496,256	20,248	65%	407,637	(148,266)	(96,373)		
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,804	17,009	17,009		
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	933,313	758,383	Not applicable	100%	626,007	(147,749)	(147,749)		
eBIO INTERNATIONAL	eBIO TECHNOLOGY	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	113,071	101,071	18,027	100%	6,787	(4,542)	(4,542)		

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Years ended December 31, 2025

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2025	Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2025	Net income of investee for the year ended December 31, 2025	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended Decembe 31, 2025 (Note 2)	Book value of investments in Mainland China as of December 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2025	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)1	\$ 367,541	\$ - \$ -	\$ 367,541	\$ 29,058	100%	\$ 29,058	\$ 899,595	\$ 1,907,779	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)2	328,912	- -	328,912	25,512	100%	25,512	586,167	692,751	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of December 31, 2025	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,610,841

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
(1) Directly invest in a company in Mainland China.
(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
A. Invested through Jochu Investment Ltd.
B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
(3) Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the year ended December 31,2024’ column:
(1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
B.The financial statements were audited by R.O.C. parent company’s CPA.
C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.